Adityanath, months before the 2022 assembly election, had announced that he would distribute 10 million free smartphones and tablets to youth. He made good on that promise in the first phase itself, before the election, when he gave away 100,000 pieces to final-year college students. The cost? In excess of Rs 2,000 crore.

CODE RED FOR STATES

Freebies are by no means a new phenomenon in India. They have been an inalienable part of electoral politics, with Tamil Nadu taking an early lead with electoral sops ranging from colour TV sets to mixer-grinders, even gold. Some have justified it as a contract between a party and the people. It was only when the Reserve Bank of India (RBI), in its June bulletin, carried out a risk analysis of state finances in the wake of the Sri Lankan crisis, training a sharp lens on heavily-indebted states, that the focus shifted to what it classified as "non-merit subsidies or freebies". Sri Lanka's economic meltdown was a result of the financial mismanagement of its political leadership.

The slowdown in tax revenues exacerbated by the Covid-19 pandemic and the ballooning subsidy bill is now threatening to turn many states into "mini-Lankas", as a senior official put it. Compiled by a team from the RBI's Department of Economic and Policy Research under the guidance of deputy governor Dr Michael Debabrata Patra, the bulletin warned that in five of India's most indebted states—Bihar, Kerala, Punjab, Rajasthan and West Bengal—the growth in debt has far outpaced their GSDP in the past five years and is no longer sustainable. The debt to GSDP ratio has breached the danger mark of 30 per cent (as set by the 15th finance commission; the FRBM (Fiscal Responsibility and Budget Management) review committee recommends total state debt to GDP ratio at 20 per cent for the current fisc) in these states and they are teetering on the edge of a fiscal cliff. What this means is that states will now have to borrow just to honour their current debt repayment commitments, pushing them deeper into indebtedness. The bulletin also says that at least half a dozen other states are likely to go down the same road if remedial action is not taken.

Among the culprits for this sorry state of affairs are committed expenses (which include salaries, pensions, interest repayments, administrative expenses, etc.), debt of electricity distribution companies, or discoms, and state subsidies. It is this last that the PM dubbed the *revdi* culture while inaugurating the Bundelkhand expressway in UP on July 16, warning that it was endangering the development of the country. "Those with *revdi* culture will never build new expressways, new airports or defence corridors for you," he said. "Together, we must defeat this mentality and remove the *revdi* culture from the politics of the country." His remarks elicited a furious reaction from Kejriwal, who saw the statement as an indirect attack on his poll promises in Gujarat. In his retort, the Delhi CM said: "Why is there sudden opposition to free education, healthcare, medicines, food, etc.? Is everything okay with the Centre's finances?" Justifying his measures, he said, "A Rs 1,000 per month allowance is not *revdi*. It is your right. People's money should go to the people, not in the Swiss banks."

Kejriwal then cleverly turned the tables on Modi by drawing attention to the various central welfare schemes the prime minister has announced and executed since coming to power in 2014 and accused him of favouring big business. The Modi government was forced to loosen its purse strings during the pandemic to provide free foodgrains and cooking gas to the poor and cash doles of Rs 500 a month for women (in bank accounts opened under the PM Jan Dhan Yojana) and for the elderly under the Pradhan Mantri Garib Kalyan Yojana. As expected, the Centre breached the FRBM target of 3 per cent in the Covid years—its fiscal deficit was 9.3 per cent in FY21 and 6.7 per cent in FY22; it was 4.5 per cent the year before the pandemic broke out.

THE RBI CLASSIFIES PROVISION OF FREE ELECTRICITY, WATER AND PUBLIC TRANSPORTATION, WAIVER OF PENDING UTILITY BILLS AND FARM LOANS, AS NON-MERIT SUBSIDIES OR FREEBIES

Realising that Kejriwal had stolen a march over the central government by interpreting the PM's *revdi* remark as a jibe against health and education benefits—two areas AAP claims to have made a difference in, in the national capital—Union finance minister Nirmala Sitharaman was quick clarify: "Nobody is saying free benefits to the poor are wrong. How can health and education be freebies? They must be a priority for every government." The objection, the finance minister went on to elaborate, was to the fact that "many political parties promise free television sets, kitchenware, gold jewellery, free mobile phones, free electricity up to certain units, washing machines, laptops, sarees, free internet, etc. to lure the voters". These, she said, breed inefficiencies into the system, and need to be discouraged.

Meanwhile, the freebies debate reached the highest court of the land, which was hearing a PIL filed by BJP leader Ashwini Upadhyaya against it. A Supreme Court bench comprising Chief Justice N.V. Ramana and Justices Krishna Murari and Hima Kohli first recommended the formation of an expert committee to look into freebies offered by political parties to voters but later decided to put it off. A new three-judge bench will now take up pleas to review a 2013 judgment that said some freebies were related to the directive principles guiding a state's policies.